

precise). Mutual funds in India manage more than Rs 11 lakh crore of debt assets (as on July 2017) and each of these funds has access to similar information sets. Hence, it is almost impossible for any one debt fund manager to consistently outperform the peer group. MTM returns, over a period of several years, are therefore similar for all debt funds (in a given class of debt funds; e.g. short-term bond funds, liquid funds). That leaves us with YTM and the expense ratio.

By now, you are familiar with the expense ratio. It is the fees you knowingly or unknowingly pay to the fund management house. So, let us focus on YTM.

The **Yield to Market (YTM)** of a mutual fund is a weighted average yield of all its investments. The yield of a mutual fund depends on the credit quality of its portfolio. If you are interested in investing in debt funds, you need to understand this relationship between credit quality and YTM.

All corporate debt is 'rated' basis the quality of the corporate's financial statement. These ratings are provided by rating agencies in India, including CRISIL, CARE, ICRA, India Ratings and Brickworks. Each issuer of debt gets a credit rating on the basis of its balance sheet strength. For example, government securities, with the highest credit strength, get a rating of 'AAA'. Similarly, a struggling company with poor debt management may get a rating of 'B'. A rating of 'D' means that a company has defaulted on its debt.

Based on these ratings, we assign a unique score to each rating category. For example, government securities get a score of 10, AAA papers get a score of 9, AA+ papers get a score of 8.5, and so on. We then multiply the weights of these different papers in a given debt fund with their respective scores to arrive at the credit score for each debt fund.

Once the credit scores for each fund are calculated, we plot the YTM versus credit scores for all the short-term debt funds available in the mutual fund universe (see the exhibit below).